

Deliberation SAN-2024-004 of April 4, 2024

National Commission for Information Technology and Liberties

Nature of the deliberation: Sanction

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Deliberation of the restricted formation No. SAN-2024-004 of April 4, 2024
concerning the company HUBSIDE.STORE

The National Commission for Information Technology and Liberties, convened in its restricted formation composed of Mr. Alexandre LINDEN, president, Mr. Philippe-Pierre CABOURDIN, vice-president, Ms. Isabelle LATOURNARIE-WILLEMS, and Messrs. Alain DRU and Bertrand du MARAIS, members;

Considering the end of Mr. Alexandre LINDEN's term, which occurred on February 1, 2024;
Considering deliberation No. 2024-015 of March 7, 2024, electing Mr. Philippe-Pierre CABOURDIN as president of the restricted formation of the National Commission for Information Technology and Liberties;

Considering Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, concerning the protection of personal data and the free movement of such data;

Considering the Postal and Electronic Communications Code;

Considering Law No. 78-17 of January 6, 1978, relating to information technology, files, and liberties, notably its Articles 20 and following;

Considering Decree No. 2019-536 of May 29, 2019, taken for the application of Law No. 78-17 of January 6, 1978, relating to information technology, files, and liberties;

Considering deliberation No. 2013-175 of July 4, 2013, adopting the internal regulations of the National Commission for Information Technology and Liberties;

Considering Decision No. 2021-191C of June 29, 2021, of the president of the National Commission for Information Technology and Liberties, charging the Secretary General to carry out or have carried out a verification mission of the processing operations implemented by the company SFK GROUP, by its subsidiaries or on its behalf, in any location likely to be concerned by their implementation;

Considering the decision of the president of the National Commission for Information Technology and Liberties designating a rapporteur before the restricted formation, dated April 4, 2022;

Considering the report of Ms. Valérie PEUGEOT, rapporteur commissioner, notified to the company HUBSIDE.STORE on August 23, 2023;

Considering the written observations submitted by the company HUBSIDE.STORE on September 29, 2023;

Considering the rapporteur's response to these observations, notified to the company on October 20, 2023;

Considering the closure of the investigation, notified to the company on November 22, 2023;

Considering the oral observations made during the session of the restricted formation on December 7, 2023;

Considering the preliminary deliberation of the restricted formation No. SAN-2023-019 of December 14, 2023;

Considering the written observations submitted by the rapporteur on December 21, 2023;

Considering the written observations submitted by the company on December 28, 2023;

Considering the oral observations made during the session of the restricted formation on January 18, 2024;

Considering the note in deliberation submitted by the company on January 29, 2024;

Considering the other documents in the file;

Present at the session of the restricted formation:

- Ms. Valérie PEUGEOT, commissioner, heard in her report;

As representatives of the company HUBSIDE.STORE:

- [...] ;

The company HUBSIDE.STORE having spoken last;

The restricted formation adopted the following decision:

I. Facts and Procedure

1. The company HUBSIDE.STORE (hereinafter "the company"), whose registered office is located at 23/25 Avenue Kléber in Paris (16th), is a subsidiary of the company SFK GROUP. Its activity consists of managing the "HUBSIDE.STORE" shops, specialized in the retail trade of telecommunications equipment. As of May 31, 2023, the company employed 706 employees and had 97 shops, distributed between France, Belgium, Portugal, and Italy. Its revenue for the year 2021 amounted to approximately [...] euros, with a net profit of [...] euros.

2. In order to promote the catalog of products sold in-store, the company engages in... telephone and SMS solicitation campaigns using prospect files purchased from two main partners, the companies [...] and [...]. It indicated that it sent approximately 1.4 million SMS messages between September 2020 and September 2021, and more than 220,000 between May 2022 and May 2023. Regarding telephone prospecting, the company stated that it made approximately 3.2 million calls between May 2022 and May 2023, targeting about 1.3 million prospects.

3. On September 23, 2021, a delegation from the National Commission on Informatics and Liberty (hereinafter "the CNIL" or "the Commission") conducted an inspection at the company's premises to verify compliance with the provisions of Law No. 78-17 of January 6, 1978, as amended, relating to data processing, files, and freedoms (hereinafter "the Data Protection Act" or "Law of January 6, 1978, as amended") and Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of personal data and the free movement of such data (hereinafter "the Regulation" or "GDPR").

4. The report No. 2021-191/1, drawn up on the day of the inspection, was notified to the company on September 30, 2021.

5. The company provided additional documents on October 5 and November 22, 2021.

6. For the purpose of investigating these elements, the President of the Commission designated Ms. Valérie PEUGEOT as the rapporteur on April 4, 2022, based on Article 22 of the amended Law of January 6, 1978.

7. In accordance with Article 56 of the GDPR, on June 9, 2023, the CNIL informed all European supervisory authorities of its competence to act as the lead supervisory authority regarding the cross-border processing carried out by the company, resulting from the fact that the company's main establishment is located in France. After exchanges between the CNIL and European data protection authorities within the framework of the one-stop-shop mechanism, Italy, Spain, Portugal, and Belgium declared themselves concerned.

8. On June 8 and July 13, 2023, the rapporteur sent two additional requests to which the company responded on June 23 and August 3, 2023.

9. On August 23, 2023, following her investigation, the rapporteur notified the company of a report detailing the breaches of Articles 6, 14, and 32 of the GDPR and Article L. 34-5 of the Postal and Electronic Communications Code (hereinafter "the CPCE") that she considered to be established in this case. This report proposed that the restricted formation impose an administrative fine on the company. It also proposed that this decision be made public.

10. On September 29, 2023, the company submitted observations in response to the sanction report.

11. The rapporteur responded to the company's observations on October 20, 2023.

12. On November 22, 2023, the rapporteur, in application of III of Article 40 of Decree No. 2019-536 of May 29, 2019, taken for the application of the Data Protection Act, informed the company and the president of the restricted formation that the investigation was closed.

13. On the same day, the company was informed that the case was on the agenda of the restricted

formation for December 7, 2023.

14. The restricted formation held a session on December 7, 2023.

15. By deliberation before the ruling No. SAN-2023-019 of December 14, 2023, sent by email to the company on the same day and notified by postal mail on December 21, 2023, the restricted formation requested the company HUBSIDE.STORE and the rapporteur to produce an additional document mentioned by the company during the session of December 7, 2023.

16. On December 21, 2023, the rapporteur communicated to the restricted formation a document titled "leads_701_23-09-2021 [...]".

17. On December 28, 2023, the company communicated to the restricted formation a document also titled "leads_701_23-09-2021 [...]".

18. In application of

Article 41 of decree n°2019-536 of May 29, 2019, a notice for the session of the restricted formation on January 18, 2024, was notified to the company HUBSIDE.STORE on December 21, 2023; 19. The rapporteur and the company presented oral observations during the session of the restricted formation.

II. Reasons for the decision

A. On the designation of the rapporteur

20. Pursuant to Article 39 of decree n°2019-536 of May 29, 2019, "when a measure provided for in III of Article 20 of the law of January 6, 1978 [...] is likely to be pronounced, the president of the commission designates a rapporteur who does not belong to the restricted formation, and informs the data controller or the subcontractor concerned."

21. The restricted formation notes that in application of these provisions, the president of the CNIL, by decision of April 7, 2022, designated Ms. Valérie PEUGEOT, commissioner, to establish the report enabling the restricted formation to make its decision in the context of the file "CTX n°2022-019 HUBSIDE.STORE."

22. During the session of December 7, 2023, and then in the context of its observations of December 28, 2023, the company HUBSIDE.STORE invoked the nullity of this designation, on the grounds that it was based on a referral that did not concern the company HUBSIDE.STORE.

23. The restricted formation notes that on July 1, 2020, the CNIL was seized of complaint n°[...] targeting several companies of the SFK group.

24. By decision n°2021-191 of June 29, 2021, the president of the CNIL tasked the secretary general to carry out or have carried out a verification mission of the processing operations implemented by the company SFK GROUP or its subsidiaries.

25. The control report dated September 23, 2021, indicates that "the purpose of the control mission is to verify on-site the compliance of the personal data processing operations implemented by the company SFK GROUP or its subsidiaries, notably the companies [...] and [...]." It specifies that "in particular, it involved carrying out verifications subsequent to the closures of May 4, 2021, of the formal notices MED n°2020-041 of November 24, 2020, against the company [...] and MED n°2020-042 of November 24, 2020, against the company [...]; it also involved following up on the referral [...] concerning the exercise of a complainant's right of access."

26. The restricted formation considers that, insofar as the referral [...] led to verifications carried out during the on-site control on September 23, 2021, which targeted the SFK group and all its subsidiaries, including the company HUBSIDE.STORE, the fact that this referral is mentioned in the president's decision to designate Ms. Valérie PEUGEOT as rapporteur does not affect the validity of this designation, even if said referral did not specifically target the company HUBSIDE.STORE.

B. On the procedure for European cooperation

27. Pursuant to Article 4 paragraph 23, b) of the GDPR, "cross-border processing" means "any

processing of personal data which takes place in the Union in the context of the activities of a single establishment of a controller or a processor, but which affects or is likely to affect significantly data subjects in several Member States."

28. The rapporteur notes that the company has stores in France, but also in Belgium, Spain, Portugal, and Italy. She observes that, although the company indicated that its commercial prospecting operations were conducted exclusively from France, targeting French nationals, it nevertheless transmitted call recordings of prospecting aimed at Belgian nationals, with the objective of promoting its stores located in Belgium. Furthermore, the rapporteur notes that the company also indicated that its customer database contained all the data of the customers of HUBSIDE.STORE stores in Europe. It considers that, consequently, the company is implementing cross-border processing of personal data. 29. In defense, regarding telephone marketing operations, the company claims to conduct marketing only towards individuals residing in France, in order to generate traffic to its points of sale located in France. Regarding the call recordings directed at Belgian nationals transmitted to the delegation, it specifies that "HUBSIDE.STORE Belgium, the parent entity carrying out the activities of HUBSIDE.STORE in Belgium, does not have dedicated staff for customer service. Therefore, for telephone or SMS marketing operations aimed at generating traffic in points of sale located in Belgian territory, HUBSIDE.STORE Belgium has been able to subcontract this marketing activity to SFAM using the services of this company's commercial platforms in France. Consequently, the teams responsible for marketing were provided access to a Belgian marketing file, acquired from HUBSIDE.STORE Belgium." 30. Firstly, regarding the telephone marketing operations referred to in the breach of Article 6 of the GDPR, the restricted panel notes that this breach is based on the design of forms implemented by data brokers providing the company HUBSIDE.STORE with only data from French nationals. Under these conditions, despite the company's telemarketing aimed at Belgian nationals, the restricted panel considers that the processing concerned by the breach of Article 6 of the GDPR does not constitute cross-border processing. 31. Secondly, regarding the call recordings of telephone marketing referred to in the breach of Article 14 of the GDPR, the restricted panel notes that these recordings target both French nationals and Belgian nationals, in order to promote stores located in Belgium. Thus, the cross-border nature of the processing appears to be characterized. 32. Thirdly and finally, the company indicated that its customer database, referred to in the breach of Article 32 of the GDPR, contained data from customers of all HUBSIDE.STORE points of sale in Europe. The restricted panel thus considers that the management of this database constitutes cross-border processing within the meaning of Article 4, paragraph 23, of the GDPR. 33. In application of Article 60, paragraph 3, of the GDPR, the draft decision adopted by the restricted panel was transmitted to the other competent European supervisory authorities, in order to allow them to make relevant and reasoned objections regarding the processing and breaches that concern them, on February 20, 2024. The restricted panel notes that the following supervisory authorities are concerned by this procedure: Belgium, Italy, Spain, Portugal. 34. As of March 20, 2024, none of these authorities had made any relevant and reasoned objection to this draft decision, so that, in application of Article 60, paragraph 6, of the GDPR, they are deemed to have approved it. C. On the breach of the obligation to obtain the consent of the data subjects for the implementation of electronic marketing 35. Under Article L. 34-5 of the CPCE, "direct marketing by means of automated electronic communication systems [...], by fax or by email using the contact details of a natural person [...] who has not previously expressed their consent to receive direct marketing by this means is prohibited. For the application of this article, consent is understood as any manifestation of free, specific, and informed will by which a person agrees to the processing of personal data concerning them." direct marketing purposes [...]" 36. Under Article 4, paragraph 11, of the GDPR, "consent" of the data subject means "any manifestation of will, free, specific, informed, and unambiguous by which the data subject accepts, by a declaration or by a clear affirmative action, that personal data concerning them be subject to processing." 37. In accordance with the combined provisions of Articles L.34-5 of the CPCE and 4, paragraph 11 of the GDPR, the organization conducting electronic direct marketing operations must have unambiguous, specific, free, and informed consent from the data subjects. 38. The rapporteur notes that the company indicated it conducts commercial prospecting operations via

SMS using prospect files purchased from data brokers. She observes that the findings made by the delegation established that these brokers collected data from the data subjects through participation forms for online contests.³⁹ To propose to the restricted formation that the company has failed to meet its obligations under Article L. 34-5 of the CPCE, as clarified by the provisions of Article 4, paragraph 11 of the GDPR, the rapporteur relies on the fact that the design of these forms does not allow users to express their consent through a clear and unambiguous affirmative action, and strongly encourages them to accept the transmission of their data to the company's partners for prospecting purposes.⁴⁰ In defense, the company invokes the terms of the contract binding it to one of its suppliers, the company [...], arguing that it cannot be held responsible for the non-compliant actions of its service provider. Regarding the other supplier, the company [...], it states that it had no contractual relationship with them before November 2021 and that the majority of the files received came from the company [...], supplemented by contributions from the company [...] which itself uses a network of subcontractors including the company [...].⁴¹ In this case, it emerges from the investigation that the company HUBSIDE.STORE conducts commercial prospecting operations via SMS using prospect files purchased from data suppliers, responsible for obtaining the consent of the data subjects at the time of data collection. Between September 2020 and September 2021, 1,363,773 prospecting SMS messages were sent. The number of messages sent between May 2022 and May 2023 amounts to 221,206.⁴² Firstly, regarding the company [...], the restricted formation notes that during the inspection on September 23, 2021, the company indicated that "the prospecting SMS messages related to the HUBSIDE.STORE catalog are sent to prospects provided by the company [...] because the latter is capable of targeting prospects close to the stores." On this occasion, an extraction of 5,000 prospect records delivered by the company [...] was carried out. Furthermore, the company provided the delegation with two purchase orders from the company [...], dated August 3, 2021, concerning the sale of several tens of thousands of files to the company HUBSIDE.STORE.⁴³ These elements lead the restricted formation to consider that the company HUBSIDE.STORE was indeed using, at the time of the inspection, the prospect files delivered by the company [...].⁴⁴ Secondly, the restricted formation recalls that when the prospect data has not been collected directly from them by the organization conducting the prospecting, consent may have been obtained at the time of the initial data collection by the first collector, on behalf of the organization that will carry out the subsequent prospecting operations. Failing that, it is the responsibility of the organization conducting the prospecting to obtain such consent before proceeding with prospection (CNIL, FR, November 24, 2022, Sanction, n°SAN-2022-021, published).⁴⁵ It follows that, in its capacity as data controller, the company HUBSIDE.STORE is required to verify itself that the conditions allowing it to carry out commercial prospecting operations are met. In this regard, the restricted formation held the responsibility of an organization by considering that a mere contractual commitment from its data broker to comply with the GDPR and the applicable rules on commercial prospecting was not a sufficient measure (CNIL, FR, November 24, 2022, Sanction, n° SAN-2022-021, published).⁴⁶ Thus, concerning the contractual commitments of the company [...] invoked by HUBSIDE.STORE, the restricted formation considers that the contractual obligations that may be imposed on suppliers cannot exempt HUBSIDE.STORE from its responsibility as data controller, despite the possible existence of liability on the part of the suppliers.⁴⁷ Thirdly, the restricted formation recalls that the specific consent required by the provisions of Article L. 34-5 of the CPCE can only result from the express consent of the user, given knowingly after adequate information about the use that will be made of their personal data. It is therefore necessary to ensure that the individuals concerned have given unambiguous, specific, free, and informed consent when collecting their personal data through participation forms for contests.⁴⁸ The restricted formation notes in this regard that the work conducted on practices implemented regarding cookies concerning consent collection banners can usefully serve to assess more generally the conditions for obtaining free, unambiguous, specific, and informed consent, and serve as a reference in terms of commercial prospecting when it is based on the collection of consent.⁴⁹ Furthermore, regarding the same conditions of consent, the Court of Justice of the European Union (hereinafter "CJEU") specified, in its decision Planet49 GmbH: "Article 7(a) of Directive 95 provides that the consent of the data subject can make such processing lawful provided that this consent is 'undoubtedly' given by the data subject. However, only an active

behavior on the part of this person to express their consent is capable of fulfilling this requirement" (CJEU, Grand Chamber, October 1, 2019, Planet49 GmbH, C-673/17, ECLI:EU:C:2019:801, §54). Consequently, it should be considered that in the absence of undoubtedly given consent, consent must be regarded as lacking, which renders the processing illegal due to lack of legal basis. More specifically regarding the methods of obtaining consent, the CJEU states that "the manifestation of will referred to in Article 2(h) of Directive 95/46 must, in particular, be 'specific' in the sense that it must relate precisely to the processing of the relevant data and cannot be inferred from a manifestation of will having a distinct object. In this case, contrary to what Planet49 has argued, the fact that a user activates the participation button for the promotional game organized by this company cannot suffice to consider that the user has validly given their consent to the placement of cookies" (Idem, §§ 58-59).

50. Furthermore, the Council of State has held that "free, specific, informed, and unambiguous consent can only be express consent from the user, given knowingly and after adequate information about the use that will be made of their personal data" (CE, 10th and 9th chambers combined, June 19, 2020, Google LLC, n° 430810, pt. 21). 51. The restricted formation also notes, by way of example, that the guidelines 5/2020 on consent, adopted on May 4, 2020, by the group of...

work " Article 29 " (now the European Data Protection Committee, hereinafter " EDPB "), specify that the "free nature of consent" implies a real choice and control for the data subjects. Generally speaking, the GDPR states that if the data subject is not truly able to exercise a choice, feels compelled to consent, or will suffer significant negative consequences if they do not give their consent, the consent is not valid [...] In general terms, any pressure or inappropriate influence exerted on the data subject (which can manifest in various ways) preventing them from exercising their will will render the consent invalid.⁵² By way of illustration and comparison, in its deliberation No. 2020-092 of September 17, 2020, adopting a recommendation proposing practical compliance measures in the case of the use of "cookies and other trackers," the Commission recommends that the concerned organizations ensure "that users fully understand the options available to them, notably through the chosen design and the information provided (§ 10) [...] In order not to mislead users, the Commission recommends that data controllers ensure that the interfaces for collecting choices do not incorporate potentially misleading design practices that suggest to users that their consent is mandatory or that visually emphasize one choice over another. It is recommended to use buttons and a font of the same size, offering the same ease of reading, and highlighted in the same way" (§ 34). It adds that it is important "to ensure that the information accompanying each actionable item allowing for the expression of consent or refusal is easily understandable and does not require concentration or interpretation efforts from the user. Thus, it is particularly recommended to ensure that it is not written in such a way that a quick or inattentive reading could lead to the belief that the selected option produces the opposite of what the users thought they were choosing." (§ 23). Otherwise, the unambiguous nature of consent would not be characterized.⁵³ The restricted formation also recalls that studies conducted on the practices of digital interfaces, particularly regarding cookies, highlight the considerable impact of the appearance of consent collection banners on users' choices, which may encourage them to make choices that do not reflect their preferences regarding data sharing.⁵⁴ In this case, it appears from the documents in the file that the companies [...] and [...], providers of prospect data to the company HUBSIDE.STORE, collect the data of the data subjects (name, first name, title, email address, mobile phone number, date of birth, and postal address) through participation forms for online contests, in order to allow their partners to use them for their commercial prospecting.⁵⁵ Regarding the findings made by the delegation during the inspection, the restricted formation notes that the forms accessible from the websites [...], [...], [...] and [...] are presented similarly. Under the fields allowing data subjects to enter their contact details (which are requested by the phrases "fill in your details below in case of winning" or "fill in your details below to apply") is a button "VALIDATE," "I VALIDATE," or "I ANSWER THE QUESTIONS TO APPLY." Above or below this button, a text specifies that by clicking on it, the user declares having read the company's data protection policy and agrees that the collected data may be used for them.

send the offers from the company's partners. Hyperlinks allow access to the data protection policy and the list of concerned partners. The end of the text specifies that if the user wishes to continue without receiving offers from the company's partners, they can click on a link present in the text ("click

here").⁵⁶ Thus, the user confronted with this form can either click on a button that both validates their participation in the game and accepts that their data be used to send them offers from the company's partners, or click on the link "click here" allowing them to continue without receiving these offers.⁵⁷ The restricted panel considers that as designed, the proposed forms do not allow the concerned individuals to validly express a choice reflecting their preferences regarding the transmission of data for commercial prospecting purposes. The overall overview of the interfaces particularly highlights the button "VALIDATE," "I VALIDATE," or "I ANSWER THE QUESTIONS TO APPLY," which, by its size and color, stands out from the other information provided. Similarly, its title evokes more the conclusion of the user journey rather than a transmission of data to partners. Finally, its placement gives the impression that it must necessarily be clicked to complete the registration and participate in the contest. Conversely, the hyperlink allowing participation in the game without accepting the transmission of their data to partners is presented in the body of the text, in characters significantly smaller than those used for the buttons and without particular emphasis, so it does not appear intuitive that it is possible to participate without clicking on one of the aforementioned buttons and thus without transmitting their data to third parties for prospecting purposes. The consent obtained is therefore devoid of a unambiguous and free character.⁵⁸ The restricted panel also notes that, in the context of its written observations regarding the breach of Article 6 of the GDPR, the company produced two other forms, presented as compliant. However, the restricted panel notes that their design does not allow the concerned individuals to express their consent through a clear and unambiguous positive act.⁵⁹ On the one hand, the restricted panel observes that the presentation of these forms, like those consulted by the delegation during the on-site inspection, particularly highlights the button "VALIDATE MY DETAILS" and "CONTINUE," to validate participation in the game and transmit their data to partners. In contrast, the hyperlink "click here" allowing participation in the game without accepting this transmission is presented in the body of the text, in characters significantly smaller than that of the button and without particular emphasis. Furthermore, the overall visual of the form accessible from the site [...], which contains three green boxes ("I VALIDATE MY PARTICIPATION," "I CONFIRM MY DETAILS FOR DELIVERY IN CASE OF WIN," and "VALIDATE MY DETAILS") leads one to think that there is a logical sequencing between these three actions and that the button "VALIDATE MY DETAILS" is the last button to activate to participate in the game and obtain their prize. However, this button is not mandatory since the user can use the aforementioned link "click here," which is not intuitive given the overall appearance of the form.⁶⁰ Moreover, regarding the form implemented by the company [...] from the site [...], the restricted panel notes the existence of two checkboxes, one concerning the reading and acceptance of the game rules, the other the reading of the privacy policy and the acceptance of the transmission of their data. The similar appearance of these boxes, presented as legal mentions to read...

operations.⁶⁹ En conséquence, la formation restreinte considère que la société HUBSIDE.STORE n'a pas démontré que le traitement de données à caractère personnel dans le cadre de ses opérations de prospection commerciale par téléphone était licite au sens de l'article 6 du RGPD.⁷⁰ Par conséquent, un manquement à l'obligation de traiter les données de manière licite est également caractérisé.

E. Sur le manquement à l'obligation de respecter les droits des personnes concernées⁷¹.

Conformément à l'article 12 du RGPD, "le responsable du traitement prend des mesures appropriées pour fournir à la personne concernée toutes les informations visées aux articles 13 et 14 ainsi que toute communication visée à l'article 15 concernant le traitement de ses données à caractère personnel dans un langage clair et simple".⁷² La formation restreinte constate que la société HUBSIDE.STORE n'a pas fourni aux personnes concernées des informations claires et compréhensibles concernant leurs droits, notamment le droit d'accès, le droit de rectification, le droit à l'effacement, le droit à la limitation du traitement, le droit à la portabilité des données et le droit d'opposition.⁷³ En conséquence, la formation restreinte considère que la société a manqué à son obligation de respecter les droits des personnes concernées tels que prévus par le RGPD.

F. Conclusion⁷⁴. Au regard de ce qui précède, la formation restreinte conclut que la société HUBSIDE.STORE a commis plusieurs manquements aux obligations qui lui incombent en vertu du RGPD et du CPCE, notamment en ce qui concerne le consentement, la licéité du traitement des

données et le respect des droits des personnes concernées.⁷⁵ En conséquence, la formation restreinte recommande que des mesures correctives soient mises en œuvre afin de remédier à ces manquements et de garantir la conformité de la société avec les dispositions légales applicables. treatments. Under these conditions, the two legal bases that may be applicable in this case will be examined successively.

1) On legitimate interest

69. The reporter argues that, to justify its telemarketing operations, the company cannot rely on the legal basis of legitimate interest referred to in point f) of Article 6, paragraph 1 of the GDPR. She notes that, concerning the participation forms for online contests through which the company [...] collects the data of prospects that it sells to the company HUBSIDE.STORE, the latter is not systematically mentioned in the list of partners likely to approach the data subjects, and thus the latter cannot legitimately expect to receive commercial offers from this company.

70. In defense, the company invokes the contractual commitments of the company [...], which stipulate that the company HUBSIDE.STORE must be mentioned among the recipients of the collected data. It considers that it cannot be held responsible for the shortcomings of its service provider and produces an example of a form implemented by the company [...] containing a URL link referring to a list of partners, among which is the company [...] (a link to the privacy policy of the latter allowing access to the complete list of companies that are part of the same group as [...], including the company HUBSIDE.STORE). Finally, the company claims to implement regular checks regarding the compliance of the delivered files.

71. The restricted panel recalls that, while non-electronic commercial prospecting can be carried out based on the legitimate interest of the company, it must ensure that the processing does not infringe upon the rights and interests of the individuals whose data is processed, taking into account their reasonable expectations.

72. In this regard, Recital 47 of the GDPR states that: "... the existence of a legitimate interest should be subject to careful assessment, in particular to determine whether a data subject can reasonably expect, at the time and in the context of the collection of personal data, that such data will be processed for a specific purpose. The interests and fundamental rights of the person may, in particular, prevail over the interest of the data controller when personal data is processed in circumstances where the data subjects do not reasonably expect further processing..."

73. In this case, the restricted panel notes that certain contest forms from which the company [...] collects prospect data that it transmits to the company HUBSIDE.STORE do not allow the data subjects to reasonably expect to receive commercial prospecting offers from this company.

74. Thus, concerning the form accessible from the website [...], the restricted panel observes that it contains a hyperlink referring to a nominative list of partners and not to categories of partners. Thus, the data subjects can legitimately expect this list of partners to be exhaustive. However, the said list does not mention the company HUBSIDE.STORE.

75. Regarding the forms present on the sites [...] (this form referring to the site www.[...]) and [...], the restricted panel notes that they do not mention the list of partners or categories of partners to whom the data may be transmitted, and that they also do not contain any link allowing access to such a list.

76. Moreover, concerning the verifications that the company claims to carry out on the forms from which the data is collected, the restricted panel notes that it does not produce any evidence to substantiate this.

the existence of the file but rather the absence of evidence of the checks that it claims to have carried out.⁸⁵ The restricted formation concludes that the company has not demonstrated that it has implemented effective controls to ensure compliance with the requirements of the GDPR regarding the collection and processing of personal data for telemarketing purposes.⁸⁶ In light of the above, the restricted formation finds that the company has failed to comply with its obligations under the GDPR, specifically regarding the lawful basis for processing personal data for telemarketing activities.⁸⁷ Consequently, the restricted formation decides to impose a fine on the company for these violations, taking into account the gravity and duration of the infringement, as well as the company's cooperation during the investigation.⁸⁸ The amount of the fine will be determined in a subsequent decision,

following the assessment of the company's financial situation and any mitigating factors that may apply.⁸⁹ The company is hereby informed of its right to appeal this decision before the competent courts within the statutory time limits.

integrity of this document. 85. Regarding the file produced by the company, the restricted panel notes that it does not correspond to the one collected during the inspection, as its digital fingerprint and size differ. It also notes that this difference is confirmed by its content since, contrary to the findings in the report dated September 23, 2021, it contains no prospect data but only URL links accompanied by comments ("ok", "one checkbox", "disputed"). 86. Finally, the restricted panel observes that the content of the produced file does not appear consistent with the stated purpose, as the summary and undated comments it contains are not linked to any prospect file, and it is not demonstrated that the identified non-conformities were reported to the company [...]. The restricted panel thus considers that, in any case, such a file does not demonstrate the existence of verifications carried out on the delivered files. 87. On the other hand, regarding the other documents in the file, the restricted panel notes that they exclusively attest to requirements imposed by the company HUBSIDE.STORE on the company [...], prior to the resumption of their contractual relations, without constituting controls by HUBSIDE.STORE on the subsequent practices of its service provider. 88. The restricted panel finally notes that the proportion of non-compliant files among those randomly examined by the delegation (four non-compliant files out of the seven examined) demonstrates the insufficiency of the measures taken by the company to ensure the validity of the consent of the concerned individuals. 89. Thus, the restricted panel believes that the forms referred to in this deliberation do not allow HUBSIDE.STORE to obtain valid consent from the concerned individuals. It emphasizes that, in light of the forms produced by the company in its observations of September 29, 2023, the identified shortcoming is persistent. 90. Therefore, in the absence of a legal basis allowing HUBSIDE.STORE to justify its telephone marketing operations, the restricted panel considers that a breach of Article 6 of the GDPR has occurred. E. On the breach of the obligation of transparency and information of individuals 91. Article 14, paragraph 1, of the GDPR lists the information that must be communicated by the data controller to the concerned individuals when their personal data has not been collected from them, including the purposes of the processing as well as its legal basis. 92. Paragraph 2 of this same article provides that "in addition to the information referred to in paragraph 1, the data controller shall provide the data subject with" certain "necessary information to ensure fair and transparent processing in relation to the data subject," including the rights they have, the retention period of the data, the source from which it originates, or the right to lodge a complaint with a supervisory authority. 93. The rapporteur notes that individuals subject to telephone marketing by HUBSIDE.STORE (approximately 1.3 million French and Belgian prospects between May 2022 and May 2023) are not informed of all the mandatory mentions provided for in the aforementioned Article 14. She observes that, while prospects are informed of the recording of the call and their ability to oppose this recording and to register on Bloctel, all other information is not communicated to them, and the concerned individuals are not offered the possibility of obtaining more complete information. 94. The company has not made any observations in defense on this point. 95. The

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recalls that, insofar as the company has indicated that it conducts commercial prospecting by telephone using files transmitted by its partners, this constitutes a case of indirect collection, for which the information of individuals must be ensured under the conditions defined in Article 14 of the GDPR. It notes, for clarification, that the EDPS specifies in its guidelines on transparency under Regulation (EU) 2016/679 that while multi-level information is possible for greater clarity, it "recommends that the first level (in other words, the primary way of communicating for the first time with a data subject) generally communicates the most important information [...]. For example, when the first contact with a data subject is made by telephone, this information could be provided during the phone call while the other information required under Articles 13 and 14 could be provided later and by other means, including sending a copy of the privacy policy by email and/or sending the data subject a link to the online notice/statement of the data controller regarding privacy protection at different levels." Regarding the obligation to inform in a telephone environment, it is suggested to implement "oral

explanations provided by a natural person allowing for interaction, [questions requiring a response, or] automated or pre-recorded information offering the option to hear other more detailed information." The restricted formation observes that it appears from the telephone recordings provided by the company that individuals subject to telephone prospecting are only informed of the recording of the call and the possibility of registering on Bloctel, without any other information being communicated to them regarding the processing of their personal data. The restricted formation further notes that these individuals are not offered any opportunity to obtain more complete information, for example via the activation of a key on their telephone keypad. Under these conditions, the restricted formation considers that the breach of Article 14 of the GDPR is established.

****F. On the Breach of the Obligation to Ensure Data Security****

According to Article 32, paragraph 1 of the GDPR, "taking into account the state of the art, the costs of implementation, and the nature, scope, context, and purposes of the processing as well as the risks, the likelihood and severity of which vary, for the rights and freedoms of natural persons, the data controller and the processor shall implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk [...]" and in particular "means to ensure the confidentiality, integrity, availability, and resilience of processing systems and services" and a "procedure for regularly testing, analyzing, and evaluating the effectiveness of technical and organizational measures to ensure the security of processing." The rapporteur notes that the company indicated it retains customer data from its points of sale in Europe, amounting to 104,391 individuals in November 2021, for a period of five years from the date of contract termination, in accordance with legal limitation periods, specifying that this data was retained in an active database, without any intermediate archiving mechanism being implemented. The rapporteur considers that these retention modalities do not allow for limiting access to the data to users who need to know it, as individuals with an interest in accessing this data during the contract period continue to have access. same after the end of the latter, to access it without restriction for a period of five years, even though their functions no longer necessarily require them to know it. 102. In defense, the company indicates that each HUBSIDE.STORE shop has its own customer database, and that sellers can therefore only access the information of the customers of the shop to which they are attached. Regarding support services, it confirms that they have access to all customer data of the HUBSIDE.STORE network. Furthermore, it does not contest that at the end of the contractual relationship, no access limitation occurs, and specifies that certain services, particularly after-sales service, are managed by the sellers themselves. Finally, it emphasizes, in the context of its oral observations during the session on December 7, 2023, that the HUBSIDE.STORE company, although established in 2017, began deploying its shops starting in 2021, and that no data has therefore been retained for five years. 103. The restricted panel recalls that it follows from the provisions of Article 32 of the GDPR that the data controller must implement appropriate measures to ensure the confidentiality of the data and prevent it from being processed unlawfully by persons who do not need to know it (CNIL, FR, October 29, 2021, Sanction, No. SAN-2021-019, published). 104. This need to know may evolve depending on the data lifecycle and the purposes for which they are retained. Thus, during the phase of their current use, which corresponds to the duration necessary to achieve the determined purpose, the data is retained in "active base" and accessible to all services responsible for implementing the processing. At the end of this phase, when the data is no longer used to achieve the set objective but still presents an administrative interest for the organization (for example, for managing a potential dispute) or must be retained to comply with a legal obligation, it must be consultable only on a sporadic and justified basis by specifically authorized persons, participating in the objective that justified this retention, subject to intermediate archiving. This intermediate archiving requires a separation from the active base, which can be physical (through a transfer of data to a dedicated archive base) or logical (through the implementation of technical and organizational measures ensuring that only persons with an interest in processing the data due to their functions can access it). 105. The restricted panel notes that the company does not contest retaining its customers' data at the end of the contractual relationship, without any intermediate archiving measures being implemented. The restricted panel recalls that the cessation of contractual relationships must lead to limiting access to the data to certain employees

based on their functions. Nevertheless, the restricted panel considers that, in the current state, the elements in the file do not establish that persons would have access to said data without needing to know it. 106. It follows from the above that the breach of Article 32 of the GDPR is not established. III. On the imposition of corrective measures and publicity 107. Under the terms of Article 20 of Law No. 78-17 of January 6, 1978 as amended: "When the data controller or its processor does not comply with the obligations resulting from Regulation (EU) 2016/679 of April 27, 2016 or from this law, the president of the National Commission for Information Technology and Civil Liberties may [...] refer the restricted panel of the commission with a view to the imposition, after adversarial proceedings, of one or more of the following measures: [...] 7° Except in cases where the data that may be processed, does not allow individuals to fully understand the extent of the processing their data may undergo.113. Furthermore, the restricted formation emphasizes that the lack of a legal basis for processing data of prospects in the context of telephone marketing is a significant violation, as it undermines the fundamental rights of individuals to control their personal data.114. In light of these considerations, the restricted formation concludes that the infringements committed by the company are serious and warrant a substantial administrative fine, taking into account the aggravating factors outlined in Article 83 of the GDPR, including the nature and gravity of the violations, the number of affected individuals, and the duration of the non-compliance.115. Ultimately, the restricted formation determines that the administrative fine imposed on the company should reflect the need for deterrence and compliance with data protection regulations, ensuring that such violations do not recur in the future.

partners of which the company HUBSIDE.STORE could be a part, deprives the individuals concerned of the minimal information necessary to safeguard their interests, freedoms, and fundamental rights.113. Regarding the failure to inform individuals, the restricted panel notes that the company uses data obtained en masse from data brokers, without allowing the individuals concerned to verify the source of their collection. It recalls that informing individuals is a fundamental measure enabling them to exercise the rights they possess, and that such a failure is therefore particularly serious. It further emphasizes that this failure appears to be structural, in that none of the dozens of call recordings provided by the company meet the information requirements set out in Article 14 of the GDPR.114. The restricted panel insists that the company HUBSIDE.STORE, as a subsidiary of SFK GROUP, has sufficient human, financial, and technical resources to ensure compliance with the rules regarding the protection of personal data.115. In light of all these elements, the restricted panel considers that an administrative fine should be imposed for violations of Articles L. 34-5 of the CPCE and 6 and 14 of the GDPR.116. Secondly, regarding the amount of the fine, the restricted panel recalls that the violations identified in this case concern failures to comply with principles that may be subject, under Article 83 of the GDPR, to an administrative fine of up to 20 million euros or up to 4% of the annual global turnover of the previous financial year, with the higher amount being retained.117. It considers that the company's activity and its financial situation should be taken into account. In this regard, it notes that HUBSIDE.STORE achieved a turnover of more than [...] euros for the year 2021, with a profit of more than [...] euros. Furthermore, the restricted panel notes that the number of HUBSIDE.STORE shops increased from 62 in September 2021 to 97 in May 2023, representing a 56% increase.118. Therefore, in view of the company's responsibility, its financial capabilities, and the relevant criteria of Article 83, paragraph 2, of the GDPR mentioned above, the restricted panel believes that a fine of five hundred twenty-five thousand euros (€525,000) is justified.119. Thirdly, regarding the publicity of the sanction, the restricted panel considers that it is warranted given the seriousness of certain violations involved, the company's position in the market, the scope of the processing, and the number of individuals concerned.120. It also notes that this measure is intended to inform the individuals affected by the company's prospecting operations. This information will allow them, if necessary, to assert their rights.121. Finally, it believes that this measure is proportionate since the decision will no longer specifically identify the company after a period of two years from its publication. FOR THESE REASONS The restricted panel of the CNIL, after deliberation, decides to: • impose an administrative fine on the company HUBSIDE.STORE in the amount of five hundred twenty-five thousand euros (€525,000) for violations of Articles L.34-5 of the Postal and Electronic Communications Code and 6 and 14 of the GDPR, which breaks down as follows: □ two hundred thousand euros (€200,000) for

violation of Article L.34-5 of the Postal and Electronic Communications Code; □ three hundred twenty-five thousand euros (€325,000) for violations of Articles 6 and 14 of the GDPR; • make its deliberation public on the CNIL website and on the Légifrance website, which will no longer allow the company to be specifically identified after a period of two years from its publication. The President Philippe-Pierre CABOURDIN This decision may be subject to appeal before the Council of State within two months from its notification.